

hierarchy and value of its claim on the underlying assets. While still at Newburger, he concluded that many convertible stocks offered the same potential profits as the common stock, but with less downside. He applied this insight to Consolidated Textile, acquiring its 7% convertible bond, which he judged to be safe, and selling short the common stock, a speculative favorite due to the allure of its various cotton mills. Ben warned a senior partner who owned the common that he was taking a risk, but the partner said he preferred an “active stock” to a stodgy bond. Within a year, the common plunged from 70 to 20 while the convertible was, soon, redeemed at a premium.

With fast-accumulating experience, Graham began to think of himself as a teacher as well as practitioner. By 1919, the precocious apprentice was writing pamphlets entitled “Lessons for Investors.” In 1925, he decided to write a book imparting his investment knowledge. Fortunately, he later recalled, “I had the inspiration to learn more on the subject.” Nothing he might have written then could have resembled the volume, now in your hands, that he was to write seven years later. That he did wait is, of course, what makes *Security Analysis* so relevant today.

The late 1920s were a heady time on Wall Street. The new era of stocks that did not go down, only up, was gathering momentum. Graham, instinctively, was cautious. He bought only those stocks that he judged (on the basis of laborious research) worth considerably more than their price. His renown also grew. In 1926, he traveled to Washington and discovered through reading obscure filings at the Interstate Commerce Commission that Northern Pipeline, a former part of the Standard Oil Trust, was sitting on \$95 a share in securities such as railroad bonds. This was unknown to the public, and the stock foundered at 65. Graham, now operating a partnership with Jerry Newman, patiently bought 170,000 shares and pressured the company